

INDIA IN MOTION: TRANSITIONS FROM SECTOR-SPECIFIC INTERVENTIONS TO ECOSYSTEM-DRIVEN VALUE CREATION

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Union Budget 2026-27 comes at a strategic inflection point where global supply chains are re-aligning, technology is dissolving traditional industry boundaries, and India—with its Yuva Shakti-driven budget—is positioned to capture value that is shifting across domains at unprecedented velocity. This Budget not only continues the momentum in infrastructure with a remarkable ₹12.2 trillion outlay for infrastructure (~11% growth from last year's Revised Estimates) but also transforms how modern economies create value from infrastructure. The Budget focuses on creating value through convergence across domains rather than within sectoral silos.

At PwC, our value in motion framework identifies nine domains of growth organised around fundamental business and human needs in our contemporary world—make, build, move, feed, care, fuel and power, connect and compute, fund and insure, and govern and serve. This Budget speaks directly to this domain-centric approach to value creation.

■ Make: Strategic manufacturing gets sharper.

The Budget's manufacturing interventions reveal a maturing industrial policy focusing on economic complexity and global competitiveness. India Semiconductor Mission (ISM) 2.0's focus on equipment, materials, and full-stack Indian IP moves beyond assembly to capture higher value in the complex semiconductor value chain. The Electronics Components Manufacturing Scheme's (ECMS) enhanced outlay of ₹40,000 crore demonstrates responsive policy making, as the allocation was doubled after exceeding investment commitments. The focus of the Government on developing the rare earth corridors proposed for Odisha, Kerala, Andhra Pradesh, and Tamil Nadu highlights the focus on ecosystem-led value creation. By integrating mining, processing, research, and manufacturing within dedicated corridors, the Government is creating vertically

integrated production ecosystems rather than isolated factories. There is also a strong opportunity to layer in an ecosystem and skilling lens—where AI can accelerate workforce readiness, enable advanced process design, and support MSMEs and suppliers to move up the value chain through faster learning and adoption.

The challenge will now lie in execution velocity. With global competitors moving forward continuously, the window for India to establish itself as a reliable strategic manufacturing alternative demands implementation timelines that match private sector urgency.

■ Build: Infrastructure as a growth facilitator.

This Budget reimagines infrastructure beyond asset creation to economic region formation. As cities emerge as engines of growth in India, the City Economic Region concept with an outlay of ₹5,000 crore per region over five years challenge-mode financing, represents a fundamental shift—from building infrastructure to building economic geography that meets human and business needs. Seven high-speed rail corridors connecting major cities emerging as epicentres of new-age economic activities and reflecting India's legacy of its cultural ethos are positioned explicitly as growth connectors. These are not just transport projects but deliberate interventions to create economic agglomeration. The Infrastructure Risk Guarantee Fund will address risk perception during construction and execution phases in complex infrastructure projects that have earlier deterred private capital. However, challenge-mode financing requires robust institutional capacity at both state and city levels. The real transformative impact will depend on municipal/urban bodies being able to build this capacity—in parallel with project execution. Learnings from the efforts of the past—Smart Cities initiative—and the needs of the future—being able to provide sustainable, low cost, and reliable last-mile connectivity—would be critical in future. The financial sector's proposal of restructuring the Power Finance Corporation (PFC) and Rural Electrification Corporation (REC) along with the incentive of ₹100 crore for large cities to raise funding through municipal bonds of ₹1,000 crore further recognises that domain-driven growth requires commensurate financial architecture and institutions.

■ Move and fuel: Unlocking the energy-mobility

nexus. One of the most forward-looking elements is the budget's treatment of mobility and energy as interconnected domains. The dedicated freight corridor connecting Dankuni in the east to Surat in the west, operationalisation of 21 new National Waterways, and the Coastal Cargo Promotion scheme collectively target a modal shift from 6% to 12% for waterways and coastal

shipping by 2047. The ₹20,000 crore Carbon Capture Utilisation, and Storage allocation across power, steel, cement, refineries, and chemicals acknowledges that decarbonisation is not a sector-specific challenge but a cross-domain imperative. The extension of Basic Customs Duty (BCD) exemptions for nuclear power equipment till 2035 and lithium-ion cell manufacturing capital goods signals strong intent on energy transition in the mobility and energy spaces. However, integrating these initiatives would be a challenge. Energy transition, logistics modernisation and multimodality, and industrial decarbonisation are all being addressed through separate schemes. Creating institutional mechanisms and platforms for cross-domain coordination can amplify their impact significantly.

■ Care, connect, and compute: 3Cs driving the next paradigm of India's economic resilience. The Budget's approach to healthcare is moving beyond healthcare infrastructure like hospitals to creating health ecosystems comprising allied health professionals, caregivers, and the development of five regional medical hubs focusing on medical value tourism. Digital and compute infrastructure emerges as a horizontal enabler. The tax holiday until 2047 for foreign companies providing cloud services through Indian data centres is a bold play for global digital infrastructure. Bharat-VISTAAR—the AI-powered agriculture advisory system integrating AgriStack and ICAR databases—demonstrates how connect and compute intersect with feed, creating value through convergence.

While this Budget's ambition is evident, its success will depend on **three critical factors**:

1. Domain convergence requires institutions that can operate across traditional ministerial boundaries. The success of initiatives like PM Gati Shakti Network Planning Groups could be a good blueprint to follow to overcome such operational challenges.
2. Many initiatives are proposed through challenge-mode financing. Building state-level institutional capacity to design, bid for, and execute these projects is as important as the allocations themselves.
3. The Budget creates frameworks such as Infrastructure Risk Guarantee Fund to mobilise the private sector. However, converting these into actual private sector investment would require an integrated investment paradigm that helps navigate the course of industrial development.

As India's growth story enters a new chapter, this Budget provides the architectural framework for domain-driven value creation. The task now is to translate this framework into projects, investments, and outcomes that will create India's next decade of value in motion.